

You're Only Human; Here's How That Hurts Your Portfolio

MY DAY JOB is Chairman and Chief Investment Officer for Ritholtz Wealth Management. My side hustle is hosting a few shows on Bloomberg radio.³⁶⁴ Since 2014, I get to spend two hours a week speaking with many of the world's most fascinating people.

One of those people is Richard Thaler, professor of behavioral science and economics at the University of Chicago. I interviewed him a few times before and after he won the Nobel Prize in economics. Conversations with Thaler are always charming and insightful.

He is also recognized as one of the founding fathers of behavioral economics. His observations about how people behave in the real world are a welcome departure from the false assumptions so endemic to classical economics. What he has learned is eye-opening and of immense importance to investors.

Thaler divides the world into two sorts of people: *Econs*, who are artificial constructs of how people are supposed to behave. They are perfectly rational, have great self-control, calculate like machines, and know exactly what is best for themselves. Classical economics is where the *Econs* reside.

Then there are *Humans* who do the things economic theory suggests they should not. They react emotionally, lack patience, fail to consider consequences, and seem flummoxed by exponential mathematics (especially compounding). They are filled with all manner of biases and judgment errors. How *Humans* get through each day must appear as a minor miracle to the *Econs*.

In his book *Misbehaving*, Thaler tells the story of how behavioral economics developed.³⁶⁵ The title references Thaler's great insight: that people do not behave like *Econs*. This has fascinating implications, most